

Data*Agility*

eBook

Data Strategy

**Everything you need
to know to write a
compelling data strategy
and successfully apply
your data**

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Talking About Data

Robert is the Head of Data and Analytics at Data Agility. He has a wide range of experience in the Government and Commercial sectors and is passionate about sharing his and his teams skills in data and analytics to help his clients manage and apply their data.



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What Is A Data strategy?

At Data Agility, we define a data strategy as being your target state for how you want to manage and apply your data. It gives you a vision, principles, your target state that you want to achieve, and it tells you how you're going to get there. It also defines how your data will play a role in helping your business achieve its objectives.

Harvard Business Review defines a data strategy as "A coherent strategy for organizing, governing, analysing, and deploying an organization's information assets that can be applied across industries and levels of data maturity."

Since 2005, Data Agility have been applying its Enterprise Information Management framework to the development of data strategies. We've constantly evolved the framework and it has become widely respected as a cross-industry method for organising and applying data. Fundamentally, it enables data analytics to make timely business decisions.

Working out what to use and what not to use can be enormously time consuming, and there is often an uncomfortable feeling that in doing nothing, you might be missing the boat.

Another challenge that we see at Data Agility is that for all the mass of data that exists, what you want may not exist, or you may not have access to it even if it does exist.

It is very hard to make good decisions without reliable data.

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A data lake without data quality is just a data swamp.

Ted Friedman, Gartner

Understanding Your Data

Why you need a data strategy

At Data Agility, we have worked with hundreds of organisations in a wide variety of industries, and have delivered dozens of data strategies.

If a data strategy isn't in place, it is harder to use data analytics to make evidence based decisions, these decisions can be less accurate, and it can take more time (and cost more) to come to these decisions.

For instance, if an organisation wants to understand how much it costs to run a division, or what impact a decision will have on business operations, it will be more efficient, and ultimately more effective, if they can swiftly access a report with reliable data on which they can base their decisions.

If, on the other hand, they need to manually collate and then analyse that data to make the decision, there is a time delay and the data can be subject to human error. This can:

- Extend the time it takes to make the decision, all the while the business is still operating
- It can increase the labour costs, as more people are required to run the analysis or are taken away from critical projects to do so
- Slow down the decision-making process. It can take days or weeks to get a result that might only take a matter of minutes with the correct data strategy in place

A data strategy results in improved accuracy and timeliness, thus allowing organisations to make better and faster business decisions.



What You Need To Know To develop a data strategy?

In order to develop and implement a successful data strategy, you need to answer some key questions first.

- Do you have buy-in across your organisation?
- Do you know who needs to be involved?
- Are you clear on the approval process?
- Is there a timeline you need to work to or can you be more flexible with times?
- Have you factored in a data strategy review, say in 18 months, to ensure you are achieving the benefits or making any alterations if you are not?
- And most importantly, is there a budget for the data strategy?

Not only do you need to consider your budget for the development stage, but also be aware that you may need some budget to get you going for the implementation before seeking your entire budget.

Once you have answers to these questions, you can move onto the Current State Assessment.

Current State Assessment

Understanding where you are today

The first step in developing your data strategy is undertaking your current state assessment. This is your opportunity to find issues and identify opportunities within your organisation in relation to your data strategy.

It is at this stage that you should be asking questions like:

- How will your data strategy help you to achieve your business objectives?
- What are your business drivers?
- What are your key pain points with data?
- What are the business impacts of the pain points?
- What are your current strengths and capabilities that can be built upon?
- What are the opportunities the data strategy can help deliver?
- What are the priority areas to focus on?

To develop a data strategy that is robust and can survive the test of time within an organisation, it is fundamental that these questions are answered prior to commencing work on your data strategy.



Stakeholders

Why it's important to get a wide range of views

It is important that you have a wide selection of internal and external stakeholders involved with the development of your Current State Assessment. This is because they can bring a different viewpoint into the mix or may be able to identify an opportunity or pain point that you are unaware of.

Consultation can occur through a range of activities like one-on-one meetings, digital surveys, team workshops and surveys. Assess who should be consulted within your organisation.

Be sure to cover a wide variety of people from senior management, in-field operators, administrative staff and external stakeholders (where appropriate).

Prior to the consultative period commencing, it is most important that stakeholders understand why the work is being undertaken so they can provide the most valuable input.

Business Impacts

What are the causes of the pain points and how will they impact your business?

As a result of your stakeholder engagement, you will have identified a series of opportunities and pain points relating to your current data, which in turn helps shape your data strategy. Next, it is important to determine what impact, if any, they currently have (or will have) in your organisation.

A simple way to assess this is to rank them on a scale of 1 to 10. For instance, you may have identified that your data quality is inadequate during your Current State Assessment. The next step is to identify what impact this is having on your organisation. It may be causing significant manual processing time to extract reports, and there may be issues with the validity of the data, which prevents your organisation from making informed decisions. This might be a 10/10 score because of the significant impact it has. Document every identified opportunity and pain point, giving each a score, then rank the scores from worst to best.

This will help you to identify where the critical issues are and what needs to be rectified immediately, the *important issues* (but not *urgent*) and the *nice to do* projects that could be left for another time. For identified pain points, try and find the root cause. It may be cultural, old legacy systems or wrong tools. Whatever the cause, it is important to know as this will be key to resolving the pain points.

Business Drivers

How will these changes impact your organisation?

One of the many values we bring to our clients' data strategy development is an objective viewpoint of the identified opportunities and pain points, and their relationship with their business drivers. We do not have an emotional attachment to these and can support them to identify which ones are a priority and need their immediate focus.

Understanding your business drivers and what your organisation is trying to achieve is paramount to this exercise. Linking your business drivers to your Current State Assessment also helps determine your priorities and focus. A good question to keep asking is 'why'. For instance, why is data quality important to your business? Is it because it will allow you to make better-informed decisions in real-time, which will allow your workforce to focus on the key strategic priorities which will result in your organisation achieving its targets?

The key is to keep drilling down and asking 'why' until you are completely satisfied that you truly understand how this impacts your business drivers and what the proposed changes will deliver to your organisation.

Once you reach the conclusion of the development of your Current State Assessment, you should have answered and communicated all of the questions that were posed at the start of the process, identified and prioritised the opportunities and pain points, understood the causes of the pain points, and assessed how all of these are impacting your business. Now it's time to build your actual Data Strategy.

Strategy and Implementation

Understanding the 4 elements of your data strategy

While there are lots of detailed data components such as data quality, metadata, etc, that need to be considered when developing a data strategy, there are four key components highlighted below that you must also consider to tie it all together. The basis of any data strategy is that this is a planned way forward, so that your organisation can improve the way it manages and applies data in the future.



Business drivers

This includes your goals, performance plans and data predictions.



Data governance

This includes data ownership, information security and risk management.



Organisational capability

This includes culture, competency and transformation.



Architecture

The architecture that supports your data strategy.

Developing A Data Strategy

Who should be involved?

At Data Agility, we regularly support our clients to develop data strategies and work with a range of stakeholders for best results.



Now that it is time to develop your data strategy, you will be working more closely with your project sponsor and the executive team. In addition, it is important to work with a wide range of stakeholders at this stage.

At Data Agility, we work with people across an entire organisation, in all divisions, at all levels. Everyone brings a unique perspective to the data strategy and can share what their own challenges are within the organisation when it comes to data.

When developing your own data strategy, we recommend you have a broad representation of people from across your organisation who can bring their own unique perspectives to the process.

How Long Does It Take To develop a data strategy?

At Data Agility, it can take us approximately 3 months to develop a data strategy for our clients.

When you are developing your own, we recommend you allow this as the absolute minimum time for development.

During the development phase, it is important to allow time for thorough thought processes and for there to be several iterations of the strategy before it is finalised.

You also need to plan for the approval and implementation phase, which can be a lengthy process for some organisations, depending on your approval processes.

Factors to consider are the business cycle and when new projects are approved, what the endorsement process looks like, how often the Board or Executive meet, and your organisation's funding commitments.



7 Mistakes Organisations Make When developing a data strategy

Developing a data strategy takes time, investment and expertise. The last thing you want to do is get it wrong or accidentally make mistakes as you develop it.

At Data Agility, we have supported hundreds of clients to build their data strategies, so we know a thing or two when it comes to what not to do.

We regularly work with clients who have initially attempted to develop their data

strategy in-house and have come to us for assistance when they realised they didn't have the experience or expertise to deliver it successfully.

We also work with clients who recognise the need for expert support to develop their data strategy and they seek our services from the outset. We hope that by sharing the mistakes we see organisations make when developing a data strategy, that you will avoid the common pitfalls.

Mistake #1

Budget

The first mistake we commonly see organisations make is regarding their budget.

While it is understood that there will be a budget requirement to develop a data strategy, a common mistake is that organisations don't plan for the lag between the development and endorsement of the strategy and receiving the actual budget required to start implementing it.

Depending on your budget approval process, you may need to seek Board approval, which can further delay the process. We recommend our clients think about their budget approval process long before the data strategy project commences and look to have some budget available to get going on the implementation, or at least enough to tide you over for a short period.

The development and implementation of a data strategy needs momentum, and you may lose it if you don't have the funding to at least commence the project.

Mistake #2

Sponsorship

The second mistake we commonly see organisations make is regarding the sponsorship of their data strategy.

A data strategy needs buy-in because a data strategy impacts all areas of the business and has ramifications on the way you do business. When the development of a data strategy is driven by the IT department, we commonly see it fail to get traction.

The reason for this is that it often fails to have cross-organisational sponsorship, and is being driven from a technology need rather than by the business to solve business issues.

We recommend our clients find a sponsor within the business who can champion the strategy, promote buy-in across their organisation and ensure the strategy is ultimately implemented. We find this sponsor is best when in a position of authority and has a level of respect across the organisation.

Mistake #3

Engagement

The third mistake we commonly see organisations make is regarding engagement.

In order to truly make your data strategy successful, it is imperative that you engage with a wide variety of departments and individuals across your organisation. You need to find out what the pain points are, and also the opportunities. We recommend our clients interview staff from the executive, to the operational staff, to the administrative staff, and everyone in between.

A common mistake we see organisations make is that they don't interview enough staff or take a broad cross-section of their divisions. Take for example an organisation that has a head office and regional or satellite offices. If you only interview head office staff, you will miss out on the opportunity to hear the challenges faced by the regional or satellite offices.

We recommend our clients visit their regional offices to see first hand what actually happens, how staff work, the issues they have and the opportunities for improvement. By interviewing a wide cross-section of staff, you will have a diverse representation of current business practices and the impacts your data strategy will have.

Mistake #4

Business strategy

The forth mistake we commonly see organisations make is regarding the business strategy.

Another mistake organisations can make is that they develop a data strategy which is technically correct and lays out how the organisation should manage their data, yet it doesn't align with the broader business strategy. In order for a data strategy to work, it needs to attach to the business drivers and needs to demonstrate how it will help support the broader business strategy.

We recommend that our clients assess what's in it for their organisation and their teams to have a new data strategy in place. If there is going to be considerable effort to develop and implement a new data strategy, the team need to understand why they're doing it. If you are asking staff to work in new ways that they may view as being an increased burden, at least in the short term, then you need to make sure that they understand how it helps them and how it will impact the organisation as a whole.

Mistake #5

Approval process

The fifth mistake we commonly see organisations make is regarding the approval process.

Before you commence your data strategy implementation project, it is important that you know what your approval process is and who needs to be involved. For instance, this might be the Executive Management team, the Board, or both. Depending on who the approving entity is, they will need an appropriate level of understanding of budget, plans and so forth.

A common mistake we see is a project team get slowed down because they didn't factor in the approval process or align it with when their organisation signs off new projects.

Another consideration is timing. For instance, if your Board only considers new strategies and budgets at certain times of the year, ensure you know when that is so that you can present your data strategy at the right time.

Mistake #6

Lack of expertise

The sixth mistake we commonly see organisations make is regarding a lack of expertise.

After reading our data strategy series, you might be forgiven in thinking it is easy to develop and implement your own data strategy. Yet we commonly see a lack of experience and expertise underpinning the failure of these projects.

It is imperative that the team working on the data strategy deeply understand this area. They need to have experience engaging with a wide range of stakeholders, both internal and external, and they need to have the broader insight into how the strategy will help the organisation achieve its goals.

They also need to be skilled at communication and selling the concept of a data strategy so that it has the best chance of being accepted by the Board, senior management team and the staff.

Another benefit of working with an experienced data strategy team (such as Data Agility) is they know all of the common mistakes that are made and how to avoid them.

Mistake #7

Viable

The seventh mistake we commonly see organisations make is regarding viability.

A data strategy should be visionary. It should take you from your current state to a more optimised future state. It should improve the way you manage and apply your data and continue to improve business processes. Yet all too often we see data strategies that are so lofty in their ideas, that they can't be afforded or implemented because it will be too much of a leap forward to achieve what has been laid out in the strategy.

Your data strategy needs to be viable and practical while also allowing for growth. You may need to break your implementation into phases so other areas of the business can implement the necessary changes that are required to take your organisation forward. This delivers value incrementally and shows everyone in your organisation what can be achieved and the benefits that can be realised. By taking a practical, realistic approach to your data strategy, you are more likely to get it off the ground and have a lasting positive change on your organisation.

5 Key Elements Of a successful data strategy

The following 5 factors should be included to ensure you have a successful data strategy.



Vision

Why you need to align to your organisation's vision

The effective application of a data strategy within an organisation requires that everyone is aligned to a single goal and a single set of guiding behaviours.

The vision should be aligned to and supportive of the broader organisational vision, mission, goals and strategy. Your data strategy is one part of the broader organisational strategy, and as such, must be aligned to it.

When writing your data strategy vision, the key is to keep it short, succinct and to the point. At Data Agility, we recommend our clients keep it to 20-30 words. The goal is that this vision is easily understood by the team and broader organisation.



Principles

Set your guiding behaviours

When developing the data principles, you can follow the same approach as above for the vision. Your principles are your guiding behaviours and will be unique for each organisation. These principles set the scene for the outcomes you want to achieve. Like your vision, the key is to keep your principles short and succinct. At Data Agility, we recommend our clients aim for no more than 5 key principles.

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Governance

Who, what and how to govern

As you develop your data strategy, it is important to determine your governance model. If you understand what data you're trying to govern, who is involved, and how it will be governed, you will have a more successful strategy.

A common mistake we see organisations make when trying to develop their data strategy without the expertise of Data Agility, is that the data governance responsibility is given to non-business staff such as those in information technology (IT) or data teams. The problem with this is that they are there to support the business with data governance.

Instead, governance needs to be owned by the business, or 'data owners'. They need to take responsibility for their data, amongst other things.

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Strategy

Where do you want to go?

Part of the strategy is to define your target state. This sets the scene for where you want to end up once you have implemented your data strategy, and how this supports your organisation's strategic objectives. The strategy should be no more than three years in duration, as things change so quickly in the world of data. In addition to the data, the strategy should include desired capabilities for:

- Technical
- Process
- People
- Architectural components

The vision should be aligned to and supportive of the broader organisational vision, mission, goals and strategy. Your data strategy is one part of the broader organisational strategy, and as such, must be aligned to it.



Plan

Implementing your strategy

Your plan is a series of projects which enable you to get from where you are today to the target state of your strategy. Your plan achieves your target state and your vision. Your plan should include:

- Technical changes required
- Organisational changes required
- Individual projects or initiatives
- Overall delivery model (eg. Internal, outsourced or mixed)



Putting It All Together

It's time to implement your data strategy

Now it's time to commence the program of work so you move from the thinking stage to the doing stage.

Getting Started

Commencing the program of work

By this stage, your data strategy should have been approved, and your funding should also be in place.



A program or project manager should have been appointed or you should at least have a nominated person who will lead the project and implementation of the data strategy.

After all the planning and development of the data strategy (the *thinking* stage), it is time for it to become a reality (the *doing* stage). It is now a major program with a number of sub-projects running simultaneously, all with deliverables and deadlines.

Project Leader

Implementing your project

Your project leader will develop a detailed plan for the full program of works, including each specific task and who is responsible for them.

It is important to set clear deadlines so each person knows their responsibilities and when their work is due.

As part of your data strategy, you will have listed your stated benefits and the dates you will start to realise them. This is why setting clear deadlines with your project team is so important. If your organisation is expecting certain deliverables by certain deadlines, we recommend a continual assessment of all tasks to ensure these deadlines will be met.

Constant evaluation of what's working, but more importantly, what's not working, will allow you to change priorities as necessary to meet deadlines.

At Data Agility, we recommend setting up your project so that it will deliver value on a regular basis. Rather than waiting until the end of the project to realise benefits, aim to deliver value and benefits in incremental stages from the outset. That also helps if you need more budget as you will have hopefully proven the value being delivered.

Issues

What to look for

When your data strategy turns from an idea to a live project, you may find yourself running into roadblocks. This is when the project starts to become *real*.

The organisation may have changing priorities. An unexpected crisis (eg. The Covid-19 closures experienced in 2020) can take your teams' focus away from your data strategy implementation and change your organisation's priorities.

A project that runs over a long period of time is likely to experience competing priorities, so we recommend you plan for that ahead of time. We also recommend you factor in a review halfway through the implementation of the data strategy, so you can assess how the project is progressing, if you have been able to achieve the benefits, and if not, what alterations are required so you do.

Another factor to consider is the willingness of team members affected by the strategy implementation to actually work on the project. They may not want to do the work, or don't want to do things differently to how they've always done them.

At Data Agility, we find that if you do the detailed plan more carefully and identify those risks early, you can have strategies in place to minimise these disruptions, and have a plan for how you can overcome them if they do occur.

Case Study

Victoria Legal Aid

Data Agility developed Victoria Legal Aid's (VLA) first data strategy. The strategy was required to focus on lifting capabilities, enabling VLA to become a significantly more client centric organisation.

Initially, the engagement saw the creation of VLA's data strategy and the Data Agility Enterprise Information Management Framework.

Victoria Legal Aid were experiencing issues around service planning. They had more people coming for help than what they could provide. They recognised they needed to understand how they could prioritise who got legal aid in the State and how they could they make better use of their services for their clients. They wanted to understand how they could they use data to help identify where the volume or demand was coming from, which lead to them engaging Data Agility to help them develop a data strategy.

Working collaboratively with VLA, the work was undertaken in two phases, including a Current State Assessment followed by the development of the strategy and implementation plan. Working closely with the VLA Data Working Group and Executive, the strategy and investment plan was endorsed by the Board.

Data Agility then led the initial implementation of the strategy with work focusing on the reporting uplift, including the implementation of the Tableau Business Intelligence suite, data governance and building internal data capabilities as part of the knowledge transfer to allow VLA to eventually own and run the program of work.

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It's been great working with Data Agility. They have been very motivated to understand the business and to embed alongside our staff and not just engage with senior leadership, but to really understand the coal face experience of people who are collecting data and needing to apply it in their everyday work to improve, to understand how effective and efficient and productive they're being.

Peter Noble, Executive Director, Victoria Legal Aid



Data Agility are here to help

As you can see, creating and implementing a data strategy takes time and is an in-depth process. There is a lot to it, and it is easy to get it wrong. Save time, money and resources by working with the experts in data strategy development and implementation for best results.

Data Agility are specialists in Data Analytics and Information Management. We support our clients to improve performance and resolve business issues through the effective application of their data. Based in Melbourne, Australia, our clients are in Health, Government, Commercial and Infrastructure.

Our services include data analytics, information management, project delivery and managed services.

dataagility.com



Hi,

If you need help with your data strategy, contact me and talk with an expert in building frameworks and systems that are built to fit your organisation.



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